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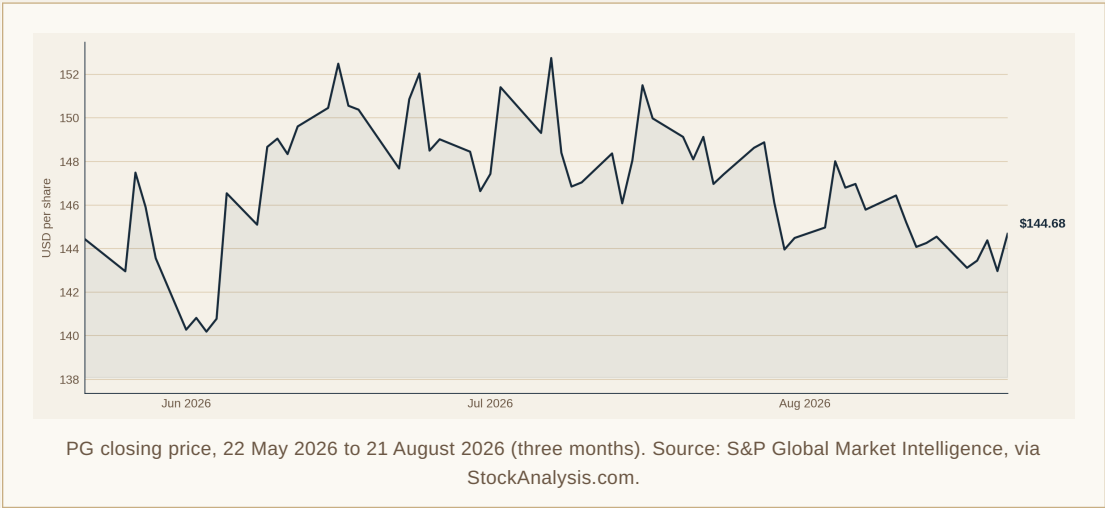
Procter & Gamble

The Procter & Gamble Company

NYSE: PG · United States · Household and Personal Products

USD 144.68 (+1.20%)

Closing price, 21 August 2026 · Most recent completed trading session



Executive Summary

Business

The Procter & Gamble Company designs, manufactures and markets branded consumer packaged goods sold through mass, club, grocery, drug, e-commerce and professional channels in more than 180 countries. Its economic engine is a portfolio of daily-use household and personal-care brands, roughly two-thirds of which hold the number-one or number-two share position in their category, monetized through a combination of list-price realization, premiumization and high-frequency repurchase.

Fabric and Home Care (Tide, Ariel, Downy, Dawn, Febreze) and Baby, Feminine and Family Care (Pampers, Always, Tampax, Charmin, Bounty) together generated 58.2 percent of fiscal 2026 net sales of USD 87,032 million (Sourced: company segment disclosure). North America is the largest single geography; the balance is spread across Europe, Greater China, Latin America, and the Asia-Pacific, Middle East and Africa region.

Financial Condition

Fiscal 2026 (year ended 30 June 2026) net sales were USD 87,032 million, up 3.3 percent, with organic sales growth of 1 percent (Sourced: P&G fourth-quarter and full-year fiscal 2026 results, 29 July 2026). Operating income was USD 21,592 million (24.8 percent margin) and net earnings attributable to the company were USD 15,754 million (18.1 percent margin). Operating cash flow reached USD 19,556 million and free cash flow USD 15,147 million, a 17.4 percent free cash flow margin (Calculated: operating cash flow less capital expenditure). The company ended the year with USD 9,942 million of cash and USD 35,025 million of total debt, a net debt position of USD 25,083 million, equal to 1.0 times trailing EBITDA (Calculated).

Market Position

P&G competes most directly with Unilever, Colgate-Palmolive, Kimberly-Clark, Church & Dwight, Reckitt Benckiser and Henkel across its five segments. Its principal advantage is the combination of category-leading scale, a USD 8 billion-plus annual advertising and consumer-research budget, and integrated manufacturing and retail-relationship infrastructure built over more than a century, which supports premium shelf placement and repeated product innovation (Sourced: company 10-K disclosure of advertising spend order of magnitude; Reasoned: competitive interpretation). Its principal weakness is limited pricing power against private-label alternatives when lower-income consumers face real-income pressure, a dynamic management itself flagged after fiscal fourth-quarter results showed a mix shift toward smaller pack sizes and promotions (Sourced: P&G fiscal fourth-quarter 2026 earnings call, 29 July 2026).

Valuation

At the 21 August 2026 close of USD 144.68 per share, P&G's market capitalization was USD 336.3 billion and enterprise value USD 361.4 billion (Sourced: StockAnalysis.com, data from S&P Global Market Intelligence). The stock trades at 21.8 times trailing earnings, 20.7 times forward earnings, 14.6 times EV/EBITDA and 22.2 times free cash flow, versus a five-year-average trailing P/E in the mid-20s (Sourced/Calculated, see Section B3).

Investment Framework

ATTRACTIVE	A 187-year operating history, a low-beta defensive cash flow stream (calculated equity beta of 0.38), a 3.0 percent dividend yield backed by 70 consecutive years of dividend increases, and a self-funded USD 1.5-2.0 billion cost-restructuring program intended to protect margin through fiscal 2027 (Sourced: company restructuring disclosure).
CONCERNING	Organic sales growth has slowed to roughly 1 percent, private-label share of U.S. consumer packaged goods has risen to approximately 23.5 percent of dollar sales, and fiscal 2027 guidance embeds a roughly USD 1 billion after-tax cost headwind from raw materials, energy and transportation (Sourced: P&G fiscal 2026 results and guidance, 29 July 2026; Sourced: private-label share estimate, Circana/industry data as reported in trade press).
MUST GO RIGHT	Volume needs to stabilize as the restructuring plan removes up to 7,000 non-manufacturing roles without disrupting service levels, and the newly announced USD 3.8 billion Thorne acquisition needs to be integrated into Health Care without diluting returns on invested capital.
COULD BREAK THE THESIS	A sustained shift of volume to private label in Fabric and Home Care or Baby, Feminine and Family Care - the two segments that anchor 58 percent of sales - would compress both revenue growth and gross margin simultaneously, since these categories carry the company's largest fixed manufacturing base.
PRICED IN	At 20.7 times forward earnings against a fiscal 2027 guidance range of 1-5 percent EPS growth, the market appears to be pricing a return to mid-single-digit organic growth and stable-to-expanding margin beyond the guided year, rather than the low-single-digit growth currently guided (Reasoned, see Section B3).

Investment Profile

Dimension	Assessment
Business quality	High - diversified, repeat-purchase category leadership with structurally high gross margin (50.9 percent, fiscal 2026)
Financial quality	High - investment-grade balance sheet, net debt/EBITDA of 1.0x, free cash flow conversion above 95 percent of net income
Competitive position	Strong in Fabric and Home Care and Baby Care; moderate in Grooming, where Gillette faces direct-to-consumer and private-label razor competition
Growth profile	Low-single-digit organic growth (1 percent, fiscal 2026); mid-single-digit reported growth aided by pricing and modest acquisitions
Balance-sheet risk	Low - net debt/EBITDA of 1.0x and an A-range credit profile consistent with investment-grade peers
Valuation	Full - trailing and forward multiples sit above the five-year average and above most staples peers on an EV/EBITDA basis
Market and technical profile	Range-bound and below both the 50-day and 200-day moving averages after a post-earnings decline; low historical beta (0.38) and 19.5 percent annualized volatility (Calculated)

A. About the Business

A1. Business Environment

P&G operates in the global household and personal-care products industry, a low-growth, high-repeat-purchase segment of consumer staples. Independent industry estimates size the combined global household and personal-care products market at approximately USD 465 billion in 2026, forecast to grow at a compound annual rate near 4.7 percent toward 2035; household products alone are estimated at USD 342.7 billion in 2025, growing at roughly 3.6 percent per year toward 2032 (Sourced: Global Growth Insights and Maximize Market Research industry estimates; figures vary by research provider and should be read as orders of magnitude rather than precise consensus). Personal-care products, which include skin care and premium beauty, are estimated to be growing faster, in the 6-7 percent range, reflecting premiumization in categories such as prestige skin care (Sourced: Fortune Business Insights, Polaris Market Research).

The industry's value chain runs from commodity and specialty chemical inputs (surfactants, pulp, resins, fragrance and packaging materials) through large-scale continuous manufacturing, to a retail landscape concentrated among a small number of mass merchandisers, club stores, drug chains and, increasingly, social and e-commerce platforms. Capital intensity is moderate: P&G's fiscal 2026 capital expenditure was USD 4,409 million, or 5.1 percent of net sales (Calculated), directed mainly toward automation, supply-chain resilience and new product capacity rather than growth capacity expansion. The industry is only lightly cyclical relative to durable goods, since most products are habitual, low-ticket repurchases, but it is exposed to input-cost cycles in petrochemicals, pulp and transportation, and to currency translation given that roughly 55 percent of P&G's sales are generated outside the United States (Sourced: company geographic segment disclosure, most recent 10-K).

Economic value in the industry is captured primarily by manufacturers with (a) sufficient scale to fund category-leading advertising and shelf presence, (b) proprietary formulations or patents that slow private-label replication, and (c) direct relationships with large retailers that allow for category-management influence. Retailers capture value through private-label substitution and slotting fees; commodity suppliers capture comparatively little, operating in largely competitive input markets.

Industry stage classification (Reasoned): Mature, with pockets of structural transformation. Household and personal-care products as a whole is a mature, slow-growth industry (low-single-digit volume growth in developed markets), but the industry is undergoing simultaneous structural pressure from two directions: retailer and discounter private-label expansion (approximately 23.5 percent of U.S. CPG dollar sales in 2026, up from roughly 20.9 percent in 2021, Sourced: industry private-label share estimates as reported in trade press) and premiumization in selected categories such as prestige skin care and wellness supplements, where P&G's pending Thorne acquisition is a direct response.

A2. What Does the Company Do?

P&G organizes its operations into five reporting segments, each built around a common operating model: research-driven product development, large-scale continuous manufacturing, brand-building marketing investment, and distribution through retail and digital channels to the end consumer. Fabric and Home Care (Tide, Ariel, Downy, Gain, Dawn, Cascade, Febreze, Mr. Clean, Swiffer) and Baby, Feminine and Family Care (Pampers, Luvs, Always, Tampax, Bounty, Charmin, Puffs) are the two largest segments and together accounted for 58.2 percent of fiscal 2026 net sales. Beauty (Head & Shoulders, Pantene, Olay, SK-II, Herbal Essences, Native, Old Spice, Secret) contributed 18.4 percent; Health Care (Crest, Oral-B, Vicks, Pepto-Bismol, Metamucil, and, pending completion, Thorne) contributed 14.3 percent; and Grooming (Gillette, Braun, Venus) contributed 7.9 percent (Sourced: company segment revenue disclosure, fiscal 2026).

Distribution runs through mass merchandisers, membership club stores, grocery and drug channels, specialty beauty retailers, social commerce and e-commerce platforms, and, for oral and personal health-care products, professional and pharmacy channels, supplemented by a growing direct-to-consumer presence (Sourced: company business description). The great majority of revenue is non-contractual, repeat consumer purchase rather than subscription revenue, though certain e-commerce "subscribe and save" arrangements exist within Baby and Health Care.

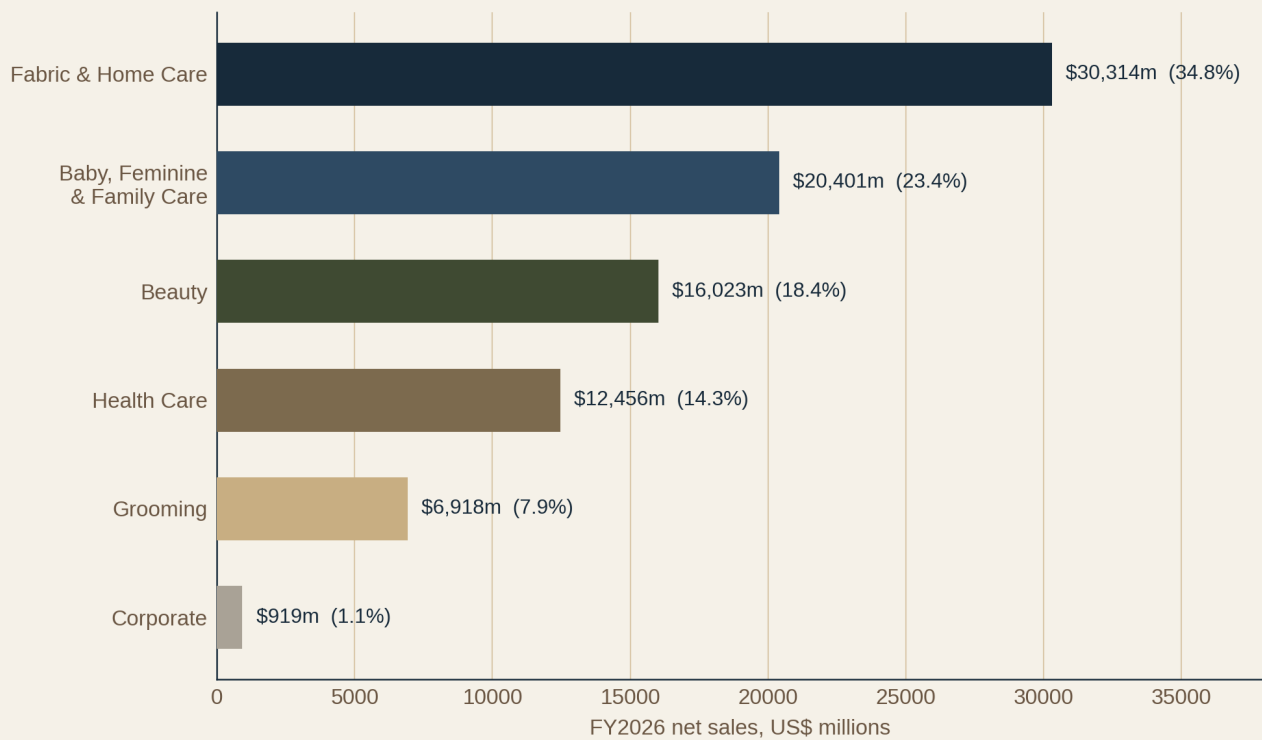
HOW A DOLLAR MOVES THROUGH THE BUSINESS (REASONED, ILLUSTRATIVE)

CUSTOMER	PRODUCT & SERVICE	REVENUE	COSTS	OPERATING PROFIT	CASH FLOW	CAPITAL ALLOCATION
Households in 180+ countries; repeat, habitual purchase	Five segments; ~60-70% of sales in a leading share position	USD 87,032m net sales, FY26 (+3.3% reported, +1% organic)	COGS, marketing and SG&A; gross margin 50.9%	USD 21,592m; 24.8% operating margin	USD 15,147m free cash flow after USD 4,409m capex	Dividends USD 10,232m; buybacks USD 5,028m; M&A

The most economically important links in this chain are brand-level pricing power (which determines gross margin, 50.9 percent in fiscal 2026) and marketing/advertising efficiency (which determines how much of gross profit converts to operating profit). A one-percentage-point change in gross margin is worth approximately USD 870 million of operating income at the current revenue base (Calculated), which is why management's productivity and restructuring program targets cost of goods sold and overhead rather than top-line volume.

A3. Business and Relationship Network

Category	Key relationships and why they matter economically
Major customers	Large mass merchandisers and club retailers (Walmart, Costco, Target-type accounts) and major e-commerce platforms represent a substantial concentration of sales; P&G does not disclose a single-customer percentage but has historically identified Walmart as its largest customer. Concentration gives retailers leverage over trade terms, shelf space and private-label competition.
Key suppliers	Petrochemical and surfactant producers, pulp and paper suppliers (for Baby and Family Care), and packaging manufacturers. Input costs in these categories are a principal driver of the roughly USD 1 billion after-tax fiscal 2027 cost headwind the company has guided to.
Distribution partners	Third-party logistics and freight providers; social-commerce and marketplace platforms increasingly important in Beauty and Health Care.
Technology / infrastructure	Enterprise systems overseen by the Chief Information Officer function; data and digital-marketing infrastructure supporting targeted advertising and e-commerce.
Strategic transactions	Pending USD 3.8 billion acquisition of Thorne HealthTech (announced 4 August 2026, from L Catterton) extends Health Care into science-backed vitamins, minerals and supplements; the fiscal 2025-2027 portfolio and productivity plan includes selected brand and market exits.
Ownership base	Predominantly institutional and index-fund ownership typical of a Dow Jones Industrial Average and S&P 500 constituent; no disclosed controlling shareholder.
Principal competitors	Unilever, Colgate-Palmolive, Kimberly-Clark, Church & Dwight, Reckitt Benckiser and Henkel, detailed in Section A4.

Net sales by segment, fiscal year 2026

US\$ millions and share of total net sales of USD 87,032 million. Source: company segment disclosure, fiscal 2026.

A4. Competition

P&G's relevant competitive set is defined by overlapping categories, shared retail customers and shared raw-material and advertising markets, not merely shared industry classification.

Competitor	What they sell	Geographic exposure	Scale (TTM revenue)	Relative position vs. P&G
Unilever plc	Personal care, home care, and (following the 2025 demerger of its ice cream business) a more focused beauty and wellbeing, personal care and home care portfolio	Broad emerging-market weighting, particularly South Asia and Africa	~USD 59bn	Comparable scale in personal and home care; stronger emerging-market distribution, weaker in North America
Colgate-Palmolive Co.	Oral care (global category leader), personal and home care, pet nutrition (Hill's)	Global, with an unusually strong Latin American and emerging-market franchise	~USD 20.8bn	Smaller and more concentrated; higher gross margin economics in oral care but far less category diversification than P&G
Kimberly-Clark Corp.	Tissue, diapers (Huggies), feminine and adult care (Kleenex, Scott)	North America-weighted; international tissue operations combined into a majority-owned joint venture with Suzano in 2026, reducing consolidated scale	~USD 16.6bn	Direct competitor to Pampers/Luvs and Bounty/Charmin; smaller scale after the 2026 Suzano transaction reduced reported revenue

Competitor	What they sell	Geographic exposure	Scale (TTM revenue)	Relative position vs. P&G
Church & Dwight Co.	Concentrated "power brand" portfolio (Arm & Hammer, OxiClean, Trojan, Waterpik)	Primarily North America	~USD 6.2bn	Much smaller, faster organic growth (5.8 percent in the second quarter of 2026), competes selectively against P&G brands in household and personal care
Reckitt Benckiser Group plc	Hygiene, health and nutrition brands (Lysol, Durex, Enfamil, Mucinex)	Global, with a large health-and-hygiene weighting	Comparable order of magnitude to Colgate	Direct competitor in Health Care and hygiene; different portfolio center of gravity (infant nutrition, over-the-counter health)
Henkel AG & Co.	Laundry and home care (Persil), adhesive technologies (industrial, not consumer-facing)	Europe-weighted consumer business, global industrial business	Consumer segment smaller than P&G's Fabric & Home Care	Direct competitor to Tide/Ariel in European laundry care; industrial adhesives segment is not comparable to any P&G business

Revenue figures are trailing twelve months as most recently reported by each company or aggregator and are not currency- or fiscal-year-normalized; see Section G for sources. Kimberly-Clark's 2026 figure reflects deconsolidation of its international tissue joint venture with Suzano and is not directly comparable to its pre-2026 revenue base.

A5. Competitive Differences

ADVANTAGES

- **Scale-funded advertising and innovation.** P&G's advertising and research budgets, funded off a USD 87 billion revenue base, allow sustained category-leading marketing spend that smaller rivals cannot match on a per-brand basis.
- **Category leadership and shelf power.** Leading share positions in the majority of the categories in which it competes support preferential retail placement and category-captain relationships with major retailers.
- **Manufacturing scale economics.** Large, continuous-run manufacturing in Fabric and Home Care and Baby Care supports a cost position that is difficult for smaller branded competitors, though not private label, to match.
- **Balance-sheet capacity.** Net debt/EBITDA of 1.0x provides capacity to fund restructuring and bolt-on acquisitions such as Thorne without straining the investment-grade credit profile.

DISADVANTAGES

- **Limited pricing power against private label.** In an environment of real-income pressure on lower-income consumers, private label has gained roughly 260 basis points of U.S. CPG dollar share since 2021, directly targeting the value end of categories where P&G is priced at a premium.
- **High fixed-cost manufacturing base.** The scale advantage above is a disadvantage in reverse when volume softens, since fixed manufacturing and overhead costs do not flex down as quickly as volume, a dynamic behind the current restructuring program.
- **Grooming category disruption.** Gillette faces continued competition from direct-to-consumer razor subscription brands and private-label alternatives that erode a historically very high-margin category.
- **Currency and geographic mix exposure.** With roughly 55 percent of sales outside the United States, reported results are exposed to translation effects that can obscure underlying organic performance.

MOAT ASSESSMENT

MODERATE TO STRONG (Reasoned)

P&G's moat rests on brand equity, distribution scale and manufacturing cost position - largely structural advantages built over decades - rather than switching costs or network effects, which are largely absent in consumer packaged goods. The moat is strongest in Baby Care and Fabric Care, where product performance differentiation and retail relationships are hardest to replicate, and weakest in Grooming and value-tier personal care, where private label and direct-to-consumer entrants compete most effectively on price alone.

A6. Industry Trend

The household and personal-care industry's historical growth has tracked global population and income growth at roughly 3-5 percent nominal per year, with personal care and prestige beauty growing faster than staple household categories (Sourced: industry market-size estimates, Section A1). Near-term demand in the United States, P&G's largest single market, has been dampened by consumer caution: management specifically cited elevated gasoline prices and broader cost-of-living pressure as limiting discretionary spending and pushing consumers toward smaller pack sizes and promotions in the fiscal fourth-quarter 2026 earnings call (Sourced: P&G Q4 FY2026 earnings call, 29 July 2026).

Two structural trends are shaping the medium-term picture. First, private-label penetration continues to rise gradually across developed-market grocery and mass channels, a genuine share-of-wallet risk to premium branded manufacturers. Second, premiumization in personal care and wellness - skin care, supplements and health-adjacent products - is growing faster than the core household category, which is the strategic logic behind the Thorne acquisition. A reversal of the current trend would most plausibly come from a normalization of consumer purchasing power (moderating energy and food costs) that reduces the incentive to trade down, or from a currency tailwind that lifts reported (though not organic) international sales.

Classification (Reasoned): Mature and moderately cyclical to the consumer's discretionary budget, with structural private-label and premiumization sub-trends running in opposite directions simultaneously.

A7. Management

Executive	Role	Background and relevant notes
Shailesh G. Jejurikar	President, Chief Executive Officer and Chairman	Became CEO on 1 January 2026, succeeding Jon R. Moeller, and was appointed Chairman of the Board effective 1 August 2026, consolidating the roles under a single executive (Sourced: company 8-K disclosures, 28 July 2025 and 29 July 2026). Joined P&G in 1989 and has been a member of its global leadership team since 2014, having previously led the Fabric Care and Home Care business and the company's Enterprise markets and global operations functions; has driven a leadership reshuffle across four of the company's five business segments during 2026.
Andre Schulten	Chief Financial Officer	In the CFO role since 2021; oversaw the fiscal 2025-2027 portfolio and productivity restructuring plan and the Thorne acquisition financing.
Jon R. Moeller	Former Executive Chairman, President and CEO (retiring)	Served as CEO until 1 January 2026 and as Executive Chairman thereafter; retired from the Board effective 31 July 2026 and from the company effective 14 August 2026, after 38 years at P&G including terms as CEO, Chief Operating Officer and Chief Financial Officer (Sourced: company 8-K, 29 July 2026).
Sundar G. Raman	Chief Executive Officer, Fabric and Home Care; Executive Sponsor, Corporate Sustainability	Leads the company's largest segment by revenue.

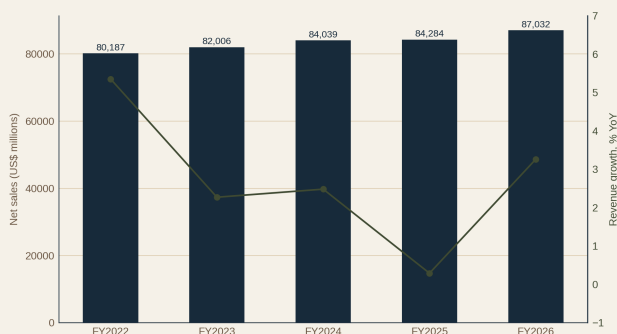
Executive	Role	Background and relevant notes
Melinda Sherwood	President, North America and Chief Sales Officer	Oversees the company's largest single geographic market and its retail customer relationships.

Capital allocation under the current management team has prioritized the dividend (raised 3 percent in fiscal 2026 to an indicated annual rate of USD 4.356 per share, extending a 70-year streak of increases, Sourced: company dividend history) alongside continued but moderated share repurchases (USD 5.0 billion in fiscal 2026, down from USD 6.5 billion in fiscal 2025) and a return to bolt-on acquisitions (Thorne). The combination of dividends and buybacks returned more than USD 15 billion to shareholders in fiscal 2026 against free cash flow of USD 15.1 billion, implying capital returned was funded essentially entirely by free cash flow rather than incremental leverage (Calculated). The announced reduction of up to 7,000 non-manufacturing roles and the CEO/Chairman consolidation both point to a management team prioritizing cost discipline and organizational simplification over the next two fiscal years; the market's initial reaction to fiscal fourth-quarter results (multiple sell-side downgrades and price-target reductions) suggests this program is not yet fully credited by investors.

B. Evaluation

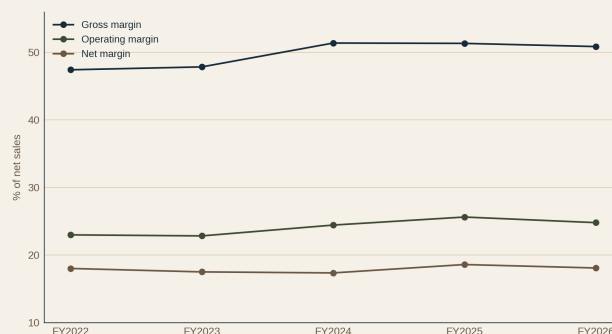
B1. Financial and Operating Metrics

Net sales and revenue growth, FY2022-FY2026



Fiscal year ends 30 June. Source: company financial statements, as compiled by S&P Global Market Intelligence / StockAnalysis.com.

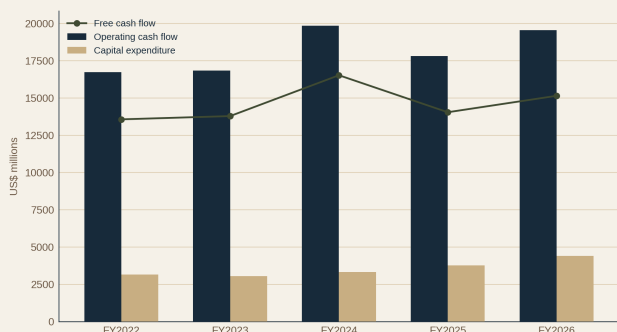
Gross, operating and net margin, FY2022-FY2026



Calculated from reported income statement data. Source: company financial statements.

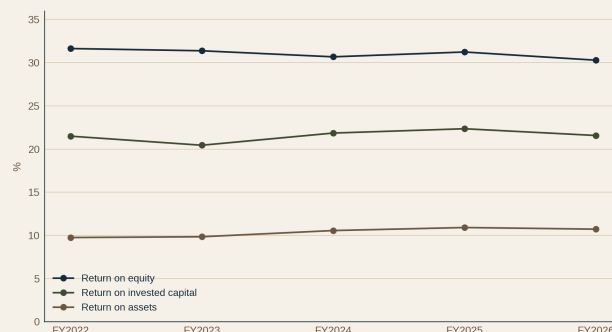
Gross margin expanded from 47.4 percent in fiscal 2022 to 50.9 percent in fiscal 2026, reflecting pricing actions taken in fiscal 2023-2024 in response to that period's input-cost inflation, followed by mix and productivity benefits; the sequential decline from 51.4 percent in fiscal 2025 to 50.9 percent in fiscal 2026 reflects the early stages of the raw-material and tariff-related cost pressure management has guided will intensify in fiscal 2027. Operating margin peaked at 25.6 percent in fiscal 2025 and eased to 24.8 percent in fiscal 2026 as restructuring charges and higher marketing investment offset gross-margin gains.

Operating cash flow, capital expenditure and free cash flow, FY2022-FY2026



US\$ millions. Free cash flow calculated as operating cash flow less capital expenditure. Source: company financial statements.

Return on equity, invested capital and assets, FY2022-FY2026



Calculated from reported income statement and balance sheet data. Source: company financial statements, as compiled by S&P Global Market Intelligence.

Free cash flow of USD 15,147 million in fiscal 2026 represents a 96.2 percent conversion of net earnings attributable to P&G (Calculated: FCF / net income), indicating that reported earnings are well supported by cash generation rather than

accruals. Capital expenditure rose from USD 3,062 million in fiscal 2023 to USD 4,409 million in fiscal 2026, lifting capital intensity from 3.7 percent to 5.1 percent of sales (Calculated), consistent with the company's stated investment in automation and supply-chain resilience under the productivity plan. Return on invested capital has been stable in a 20.4-22.4 percent range across the five-year window, comfortably above a reasoned cost of capital in the high-single digits (see Section C5), indicating the company continues to earn returns well in excess of its capital cost across the cycle.

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Gross margin	47.4%	47.9%	51.4%	51.3%	50.9%
Operating margin	23.0%	22.9%	24.5%	25.6%	24.8%
Net margin	18.0%	17.5%	17.4%	18.6%	18.1%
Return on equity	31.6%	31.4%	30.7%	31.2%	30.3%
Return on invested capital	21.5%	20.4%	21.9%	22.4%	21.6%
Return on assets	9.8%	9.8%	10.6%	10.9%	10.7%
FCF margin	16.9%	16.8%	19.7%	16.7%	17.4%
Net debt / EBITDA	1.18x	1.32x	1.03x	1.10x	1.01x
Inventory turnover	6.53x	6.11x	5.80x	5.63x	5.44x

Calculated from reported financial statements. Source: company filings, as compiled by S&P Global Market Intelligence / StockAnalysis.com.

B2. Risks

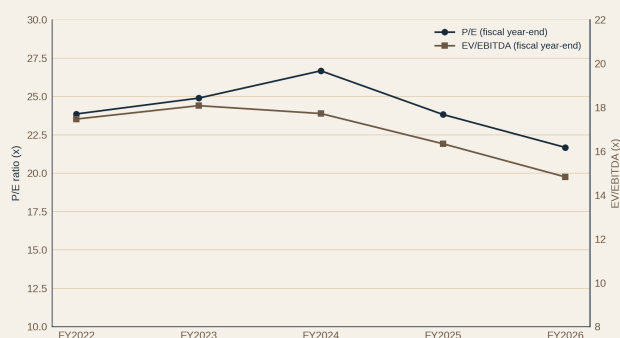
Category	Risk	Probability × Impact
Business	Customer concentration in a small number of large retail accounts gives buyers negotiating leverage over trade terms and shelf space	Medium × Medium
Competitive	Continued private-label share gains in value-sensitive categories (laundry, diapers, tissue) directly pressure volume and pricing power	High × High
Financial	Currency translation on the roughly 55 percent of sales generated outside the United States can obscure underlying organic trends and pressure reported margin in a strong-dollar environment	Medium × Medium
Macro	Elevated input costs (petrochemicals, pulp, energy, transportation) and tariffs are guided to create an approximately USD 1 billion after-tax headwind in fiscal 2027	High × Medium
Execution	The fiscal 2025-2027 restructuring, including up to 7,000 non-manufacturing role reductions, carries execution risk to service levels and employee morale during a leadership transition	Medium × Medium
Regulatory / Legal	A federal appeals court revived portions of nationwide "maximum strength" decongestant false-advertising litigation naming P&G among other manufacturers and retailers (30 July 2026); financial exposure is not yet quantified	Low × Low-Medium
M&A / Integration	The pending USD 3.8 billion Thorne acquisition requires successful integration into Health Care without diluting segment returns on invested capital	Medium × Low
Valuation		

Category	Risk	Probability × Impact
	A forward P/E of 20.7x, above several staples peers, leaves limited room for multiple expansion and creates downside risk if organic growth does not reaccelerate toward the higher end of fiscal 2027 guidance	Medium × Medium-High

The three risks most capable of durably impairing shareholder value, in the analyst's judgment, are: continued private-label and value-tier share gains that structurally reset category pricing power; a failure of the productivity and restructuring plan to translate into sustained margin expansion once the roughly USD 1.5-2.0 billion of restructuring charges roll off; and a valuation reset if fiscal 2027 organic growth prints toward the low end of the guided 1-3 percent range while the stock continues to trade at a premium to several peers on EV/EBITDA (Reasoned).

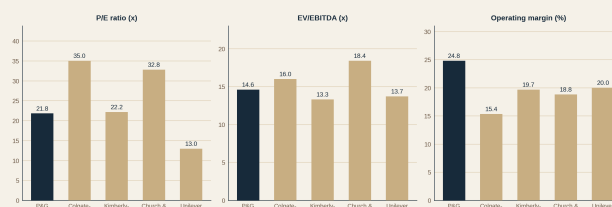
B3. Valuation

P/E and EV/EBITDA at fiscal year-end, FY2022-FY2026



Ratios calculated using fiscal year-end share price and reported financials.
Source: S&P Global Market Intelligence / StockAnalysis.com.

Peer valuation and margin comparison, current



P/E and EV/EBITDA trailing; operating margin trailing twelve months.
Source: company filings and financial-data aggregators, see Section G.

Metric	P&G	Colgate-Palmolive	Kimberly-Clark	Church & Dwight	Unilever
P/E (trailing)	21.8x	35.9x	22.2x	32.8x	13.0x
EV/EBITDA	14.6x	16.0x	13.3x	18.4x	13.7x
Operating margin	24.8%	15.4%	19.7%	18.8%	20.0%
Dividend yield	3.0%	2.3%	~4.0%	~1.2%	3.4%

Peer figures for the U.S.-listed shares as of 21-22 August 2026, sourced from public financial-data aggregators; underlying issuers report in different currencies and on different fiscal-year timetables (Unilever reports in EUR). See Section G for individual sources.

On EV/EBITDA, P&G trades at 14.6x, below Colgate-Palmolive (16.0x) and Church & Dwight (18.4x) but above Kimberly-Clark (13.3x) and Unilever (13.7x). P&G's operating margin of 24.8 percent is the highest in the peer set by a wide margin, reflecting its scale and portfolio breadth; the market appears to reward Colgate and Church & Dwight with higher P/E multiples on the basis of faster organic growth and (for Colgate) a very high return on invested capital in its concentrated

oral-care franchise, rather than on absolute profitability. Unilever's unusually low trailing P/E of 13.0x should be treated with caution: its trailing net income rose 64 percent year over year, a jump large enough to suggest the trailing-twelve-month figure includes non-recurring items (potentially related to its 2025 ice cream business demerger), so its 16.4x forward P/E is a more comparable reference point to the other issuers in this table.

P&G's own trailing P/E of 21.8x sits below its five-year fiscal year-end average (23.86x, 24.89x, 26.67x, 23.82x and 21.68x across fiscal 2022-2026, Calculated), suggesting the stock is not expensive relative to its own history despite trading at a premium to several peers on EV/EBITDA. For what the current price appears to require, see the discounted cash flow analysis in Section C5; in summary, a reasoned base-case discounted cash flow (7.5 percent WACC, 2.5 percent terminal growth, 3 percent annual free cash flow growth) implies a value in the USD 114-141 per share range depending on the discount rate used, below the current USD 144.68 price, indicating the market is pricing in either faster free cash flow growth, a lower discount rate, or both, than the analyst's base case (Reasoned/Calculated).

B4. Capital Market and Stock Analysis

PG price with 50-day and 200-day moving averages, trailing twelve months



Daily closing price, 21 August 2025 to 21 August 2026. Moving averages calculated by the analyst from daily closing prices. Source: S&P Global Market Intelligence, via StockAnalysis.com.

Period	Return	Period	Return
1 day	+1.20%	6 months	-10.01%
1 week	+0.09%	Year to date (2026)	+2.04%
1 month	-1.56%	Trailing 1 year	-8.85%
3 months	+0.89%	52-week high / low	\$167.25 / \$137.62

Returns calculated by the analyst from daily closing prices (S&P Global Market Intelligence). 52-week high/low as reported by StockAnalysis.com (intraday basis); the analyst's own close-only series over the same window shows a range of \$138.04-\$167.20.

Trailing one-year annualized volatility, calculated from daily log returns, is 19.5 percent, with downside (negative-return) annualized volatility of 13.9 percent (Calculated). The stock's maximum drawdown over the trailing year was 16.2 percent, from a peak of USD 167.20 on 27 February 2026 to a trough near USD 138.04 in early June 2026, coinciding with broader market and sector weakness in that window (Calculated). The company's own disclosed beta is 0.38, well below 1.0 and consistent with its status as a defensive consumer-staples holding (Sourced: StockAnalysis.com statistics page).

Technically, the stock closed on 21 August 2026 at USD 144.68, below both its calculated 50-day moving average (USD 147.61) and 200-day moving average (USD 147.64), which sit close together, indicating a broadly flat-to-declining medium-term trend rather than a clear breakout or breakdown. The 14-day relative strength index of 46.9 sits in neutral territory, and the MACD line (-1.03) sitting modestly below its signal line (-0.92) indicates mildly negative but not accelerating downward momentum (Calculated). The 14-day average true range of USD 2.54, or 1.76 percent of the current price, indicates below-average daily trading ranges relative to the stock's own one-year history. Taken together, the technical structure suggests a stock in a post-earnings consolidation phase following the fiscal fourth-quarter results on 29 July 2026. This technical picture is distinct from the fundamental valuation picture described above: on the analyst's base-case discounted cash flow range (Section C5), the current price runs ahead of estimated fair value even as the stock consolidates below its own moving averages.

C. Financial Statements

C1. Income Statement

US\$ millions, fiscal year ended 30 June	FY2022	FY2023	FY2024	FY2025	FY2026
Net sales	80,187	82,006	84,039	84,284	87,032
Revenue growth	5.35%	2.27%	2.48%	0.29%	3.26%
Gross profit	38,030	39,246	43,191	43,270	44,276
Gross margin	47.4%	47.9%	51.4%	51.3%	50.9%
Operating income	18,445	18,737	20,545	21,608	21,592
Operating margin	23.0%	22.9%	24.5%	25.6%	24.8%
Net earnings attributable to P&G	14,461	14,371	14,595	15,683	15,754
Net margin	18.0%	17.5%	17.4%	18.6%	18.1%
Diluted EPS (US\$)	5.81	5.90	6.02	6.51	6.62
Diluted EPS growth	5.56%	1.60%	2.04%	8.13%	1.77%

Reported figures. Source: company financial statements, as compiled by S&P Global Market Intelligence / StockAnalysis.com. Non-GAAP core EPS, which excludes restructuring and other identified items, was USD 6.89 in fiscal 2026, up 1 percent year over year (Sourced: company fiscal 2026 earnings release); the analyst uses reported diluted GAAP EPS throughout unless otherwise noted.

Revenue growth in fiscal 2026 (3.3 percent reported, 1 percent organic) was driven predominantly by pricing and modest positive currency translation rather than volume, consistent with management's commentary that unit volumes were pressured by consumer trade-down to smaller pack sizes. Operating leverage was mildly negative year over year: despite a 3.3 percent increase in net sales, operating income was roughly flat, as restructuring charges and cost inflation offset the benefit of higher volume-adjusted pricing. Gross margin has expanded by roughly 3.4 percentage points since fiscal 2022 but contracted by 0.5 percentage points in fiscal 2026 itself, the first year-over-year gross-margin decline in the five-year window, an early signal consistent with management's guidance for input-cost headwinds to intensify further in fiscal 2027.

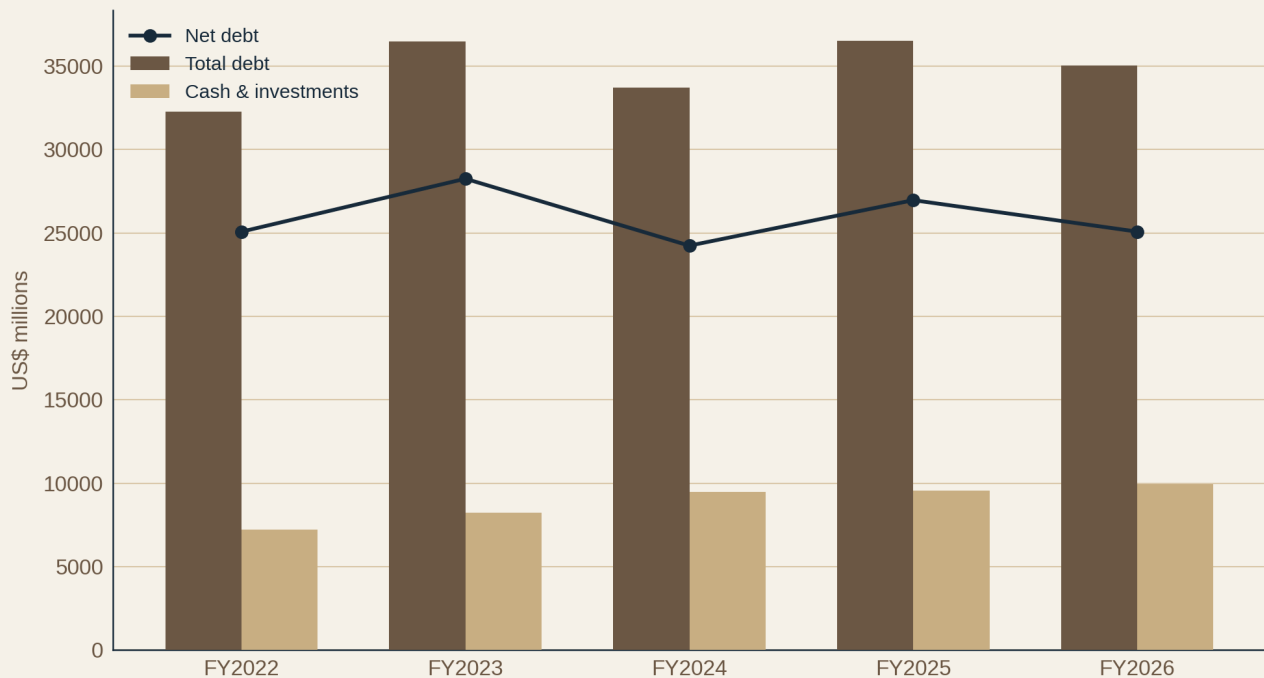
C2. Balance Sheet

US\$ millions, at 30 June	FY2022	FY2023	FY2024	FY2025	FY2026
Cash and short-term investments	7,214	8,246	9,482	9,556	9,942
Total current assets	21,653	22,648	24,709	25,392	26,208
Goodwill and intangible assets	63,379	64,442	62,350	63,560	62,720
Total assets	117,208	120,829	122,370	125,231	126,521
Total current liabilities	33,081	35,756	33,627	36,058	38,694
Total debt (short- and long-term)	32,293	36,500	33,725	36,526	35,025

US\$ millions, at 30 June	FY2022	FY2023	FY2024	FY2025	FY2026
Total liabilities	70,354	73,764	71,812	72,947	72,210
Shareholders' equity	46,854	47,065	50,558	52,284	54,311
Net debt	25,079	28,254	24,243	26,970	25,083

Reported figures, standardized presentation. Source: company financial statements, as compiled by S&P Global Market Intelligence / StockAnalysis.com.

Total debt, cash and net debt, FY2022-FY2026



US\$ millions. Source: company financial statements.

Goodwill and other intangible assets totaled USD 62,720 million at fiscal year-end 2026, equal to 49.6 percent of total assets (Calculated), reflecting decades of brand-building and acquisition activity (notably Gillette in 2005) rather than recent deal-making; this is a structural feature of the balance sheet rather than a red flag, but it does mean tangible book value per share is negative (USD -4.04, Calculated), so equity investors are effectively paying entirely for brand equity, working capital and physical plant net of intangibles. Working capital was negative USD 12,486 million in fiscal 2026, a structural feature of the business model: receivables and inventory turn faster than payables are settled, a working-capital dynamic that is a source of cash rather than a use of cash for a business of this scale and turnover. The current ratio of 0.68x and quick ratio of 0.41x are low by conventional standards but consistent with an investment-grade consumer staples issuer that relies on strong, predictable operating cash flow and commercial-paper market access rather than a large current-asset buffer for short-term liquidity. Net debt/EBITDA of 1.01x at fiscal year-end 2026 is conservative for the sector and provides meaningful capacity for the Thorne acquisition and continued shareholder returns without credit-profile strain.

C3. Cash Flow Statement

US\$ millions, fiscal year ended 30 June	FY2022	FY2023	FY2024	FY2025	FY2026
Operating cash flow	16,723	16,848	19,846	17,817	19,556

US\$ millions, fiscal year ended 30 June	FY2022	FY2023	FY2024	FY2025	FY2026
Capital expenditure	(3,156)	(3,062)	(3,322)	(3,773)	(4,409)
Free cash flow	13,567	13,786	16,524	14,044	15,147
Dividends paid	(8,770)	(8,999)	(9,312)	(9,872)	(10,232)
Share repurchases	(10,003)	(7,353)	(5,006)	(6,500)	(5,028)
FCF margin	16.9%	16.8%	19.7%	16.7%	17.4%

Reported figures. Source: company financial statements, as compiled by S&P Global Market Intelligence / StockAnalysis.com.

Free cash flow of USD 15,147 million in fiscal 2026 covered dividends of USD 10,232 million by a factor of 1.5x and, together with buybacks of USD 5,028 million, meant total shareholder distributions of USD 15,260 million were funded almost entirely by free cash flow rather than incremental debt (Calculated); total debt in fact declined USD 1,501 million over the year. Net income of USD 15,754 million (income-statement basis, attributable to P&G) versus operating cash flow of USD 19,556 million shows a healthy positive gap driven by depreciation and amortization (USD 3,160 million) and working-capital dynamics, reinforcing that reported earnings are supported, not inflated, by cash generation. The step-up in capital expenditure from USD 3,773 million in fiscal 2025 to USD 4,409 million in fiscal 2026 (a 16.9 percent increase, Calculated) is the main reason free cash flow margin, while recovering from fiscal 2025's 16.7 percent, remains below the 19.7 percent achieved in fiscal 2024.

C4. Forecasting and Projections

Management's own fiscal 2027 guidance provides the starting point for near-term projections: all-in and organic net sales growth of 1-3 percent, and diluted EPS growth of 1-5 percent off the fiscal 2026 GAAP base of USD 6.62, against an approximately USD 1 billion after-tax cost headwind from raw materials, energy and transportation (Sourced: company fiscal 2026 results release, 29 July 2026). The analyst's scenario framework below extends this guidance into a three-year view using reasoned, explicitly labeled assumptions about margin and free cash flow conversion; it is not a company forecast.

Scenario	Revenue CAGR (FY26-FY29)	Operating margin, FY29	FCF margin, FY29	Key assumption
Bear case	0.5%	23.0%	15.5%	Private-label share gains continue; restructuring savings are largely offset by input-cost inflation and price investment to defend volume
Base case	2.5%	25.0%	17.5%	Organic growth stabilizes near the middle of fiscal 2027 guidance; restructuring savings roughly offset the guided cost headwind
Bull case	4.5%	26.5%	19.0%	Volume recovers as consumer pressure eases and Thorne/Health Care premiumization contributes faster-than-portfolio growth; restructuring savings exceed cost headwinds

Reasoned scenarios constructed by the analyst; not company guidance beyond the single-year fiscal 2027 figures cited above.

C5. Discounted Cash Flow Model

The DCF below is built on the fiscal 2026 free cash flow base of USD 15,147 million, a five-year explicit growth period, and a Gordon-growth terminal value. Given the company's low disclosed beta (0.38), a mechanical capital asset pricing model calculation would imply an unusually low cost of equity; the analyst instead applies a reasoned weighted-average cost of capital range of 7.0-8.5 percent, consistent with the range typically applied to large, investment-grade consumer staples issuers, rather than mechanically compounding the sourced beta (Reasoned).

Base free cash flow (FY2026)	USD 15,147m
Explicit period	5 years
FCF growth rate (base case)	3.0% per year
WACC range applied	7.0% - 8.5%
Terminal growth rate	2.0% - 3.0%
Net debt (FY2026)	USD 25,083m
Diluted shares outstanding	2,324m

IMPLIED VALUE PER SHARE: WACC (ROWS) × TERMINAL GROWTH (COLUMNS), BASE-CASE 3% FCF GROWTH

WACC	Terminal growth 2.0%	Terminal growth 2.5%	Terminal growth 3.0%
7.0%	\$128.22	\$141.02	\$157.04
7.5%	\$115.53	\$125.82	\$138.39
8.0%	\$104.96	\$113.37	\$123.47
8.5%	\$96.01	\$103.00	\$111.26

Calculated by the analyst. Not a precise intrinsic-value estimate; a range showing sensitivity to discount-rate and terminal-growth assumptions.

Across the central assumption set (7.0-8.5 percent WACC, 2.0-3.0 percent terminal growth, 3 percent annual free cash flow growth), the implied value per share ranges from approximately USD 96 to USD 157, with a central, mid-range estimate near USD 114-126 (7.5-8.0 percent WACC, 2.0-2.5 percent terminal growth). Holding WACC and terminal growth at the midpoint (7.5 percent and 2.5 percent) and instead varying the annual free cash flow growth rate produces a bear-to-bull range of approximately USD 114 (1 percent annual FCF growth) to USD 138 (5 percent annual FCF growth) per share. The current price of USD 144.68 sits above the analyst's central mid-range estimate and above the growth-sensitivity range, and is reached in the full WACC/terminal-growth matrix only toward its more optimistic corner (7.0 percent WACC with 2.5-3.0 percent terminal growth). Taken together, the market appears to be pricing in a combination of free cash flow growth, margin durability, or a discount rate more favorable than the analyst's central, reasoned assumptions (Reasoned).

C6. Leveraged Buyout Considerations

A conventional leveraged buyout analysis is not a meaningful lens for P&G and is omitted from this report for that reason (Reasoned). At an enterprise value of USD 361.4 billion, a control transaction would be without precedent in consumer staples history and outside the practical capacity of the private-equity industry; the company's low net debt/EBITDA of 1.0x reflects a deliberate investment-grade financial policy rather than latent leverage capacity a financial sponsor could easily extract; and the shareholder base of a Dow Jones Industrial Average constituent is overwhelmingly index and institutional capital not structurally positioned to support a going-private premium. Where LBO-style thinking is useful is at the segment

level - for example, whether a divested Grooming business could support a leveraged capital structure on a standalone basis - but the company has not signaled any such intention, and constructing a hypothetical segment-level LBO would not be grounded in disclosed information.

D. Investment Thesis

Bull Case

Organic sales growth reaccelerates toward the upper half of the guided 1-3 percent fiscal 2027 range as consumer pressure from energy and food costs eases and the restructuring program's savings begin to outpace the guided cost headwind, allowing operating margin to resume its fiscal 2024-2025 trajectory toward 26 percent or higher. The Thorne acquisition and continued premiumization in Beauty and Health Care contribute above-portfolio growth, and free cash flow conversion improves as the elevated fiscal 2026 capital expenditure cycle moderates. Under these conditions, and using the bull-case DCF assumptions in Section C5, per-share value could approach or exceed the current price on a forward basis, supporting continued multiple support at or above the stock's own five-year average P/E.

Bear Case

Private-label and value-tier competition continues to erode volume and pricing power in Fabric and Home Care and Baby, Feminine and Family Care - the two segments representing 58 percent of sales - while the roughly USD 1 billion fiscal 2027 cost headwind is only partially offset by restructuring savings. Operating margin compresses toward the low-23-percent area, organic growth prints near the bottom of the 1-3 percent guided range, and the stock's premium EV/EBITDA multiple relative to Kimberly-Clark and Unilever compresses toward peer levels, a combination that would pressure the share price meaningfully below the analyst's base-case DCF range.

Base Case

Organic sales growth stabilizes near the middle of the fiscal 2027 guided range (approximately 2 percent), restructuring savings roughly offset the guided cost headwind so operating margin holds close to the fiscal 2026 level of 24.8 percent, and free cash flow margin recovers modestly toward 17.5-18.0 percent as capital expenditure growth moderates. Capital allocation continues to prioritize the dividend, with buybacks used opportunistically, and the Thorne acquisition closes and integrates without disrupting Health Care segment returns. Under this scenario, valuation is likely to remain range-bound near current levels, consistent with the base-case DCF range in Section C5 sitting modestly below the current market price.

Catalysts

- Fiscal 2027 first-quarter results (expected mid-to-late October 2026), the first test of whether the guided cost headwind and restructuring savings are tracking as guided.
- Completion and initial integration commentary on the Thorne acquisition, expected to close later in calendar 2026.
- Any update on the pace and savings realization of the up-to-7,000-role restructuring program.
- Commodity and freight cost trends (petrochemicals, pulp, energy), which directly affect the pace of gross-margin recovery.
- Evidence of the volume/private-label dynamic stabilizing or continuing to deteriorate in U.S. syndicated retail-sales data.

Things to Monitor

Metric or Event	Why it matters	Positive signal	Negative signal
Organic sales growth	Direct read on underlying volume and pricing power, isolated from currency and portfolio effects	Trending toward or above 3%	Trending toward or below 1%
Gross margin	Leading indicator of whether restructuring savings are outpacing input-cost inflation	Sequential stabilization or expansion	Continued year-over-year contraction
U.S. private-label CPG share	Structural read on category pricing power across the industry, not just P&G	Share gains decelerate or plateau	Continued acceleration in share gains
Free cash flow conversion	Confirms earnings quality and capacity to sustain dividends and buybacks without added leverage	FCF/net income sustained above 90%	Conversion falling toward 80% or below
Restructuring charge run-rate and role reductions	Tracks whether the fiscal 2025-2027 program is on schedule and within its guided USD 1.5-2.0bn cost envelope	On or ahead of schedule, within budget	Charges exceeding guidance or timeline slippage

E. Final Investment Framework

BUSINESS QUALITY	High. Diversified, repeat-purchase category leadership across five segments, with roughly two-thirds of sales in a number-one or number-two share position.
FINANCIAL QUALITY	High. Free cash flow conversion of 96 percent of net income, investment-grade balance sheet, net debt/EBITDA of 1.0x.
COMPETITIVE POSITION	Strong in Fabric and Home Care and Baby Care; more contested in Grooming and value-tier personal care, where private label and direct-to-consumer entrants compete most directly on price.
MANAGEMENT	Newly consolidated CEO/Chairman leadership under Shailesh Jejurikar since August 2026, executing a self-funded cost-restructuring and portfolio-simplification program; capital allocation remains dividend-first with disciplined, cash-funded buybacks and selective M&A.
INDUSTRY	Mature and low-growth overall, with private-label expansion and premiumization pulling in opposite directions; approximately 1.0 percent organic growth for P&G in fiscal 2026.
VALUATION	Full. Trailing multiples sit below the company's own five-year average but above several staples peers on EV/EBITDA; the analyst's reasoned DCF range (approximately USD 96-157, central estimate USD 114-126 per share) sits at or below the current USD 144.68 price.
TECHNICAL AND MARKET STRUCTURE	Range-bound and below both the 50-day and 200-day moving averages following the fiscal fourth-quarter 2026 earnings reaction; low historical beta (0.38) and 19.5 percent annualized volatility.
PRINCIPAL RISK	Structural private-label and value-tier share gains in the company's two largest segments, compounded by a guided approximately USD 1 billion fiscal 2027 after-tax cost headwind.
PRINCIPAL CATALYST	Evidence in fiscal 2027 quarterly results that restructuring savings are offsetting the guided cost headwind and that organic growth is stabilizing or reaccelerating.
KEY VARIABLE	Organic sales growth, and specifically whether unit volume stabilizes against continued private-label competition, since pricing alone has limited further room to carry reported growth without additional volume erosion.
THESIS INVALIDATION	The investment thesis would become materially weaker if organic sales growth fell below 1 percent for two or more consecutive quarters, if gross margin contracted for three consecutive quarters despite the restructuring program, or if net debt/EBITDA rose above 1.5x without a clearly identified, value-accretive use of the incremental leverage.

F. Data Table

Category	Metric	Current	Prior Year	5-Year Trend
Market	Market capitalization	\$336.3bn	\$373.5bn (FY25-end)	\$345.0bn to \$336.3bn
Market	Enterprise value	\$361.4bn	\$399.6bn (FY25-end)	\$371.3bn to \$361.4bn
Market	Share price	\$144.68	\$153.72 (FY25-end)	\$128.65 to \$144.68 (FY-end basis)
Growth	Revenue growth (FY26)	3.26%	0.29% (FY25)	5.35% (FY22) to 3.26% (FY26)
Profitability	Gross margin	50.9%	51.3%	47.4% to 50.9%
Profitability	Operating margin	24.8%	25.6%	23.0% to 24.8%
Profitability	Net margin	18.1%	18.6%	18.0% to 18.1%
Profitability	Return on equity	30.3%	31.2%	31.6% to 30.3%
Profitability	Return on invested capital	21.6%	22.4%	21.5% to 21.6%
Cash Flow	Operating cash flow	\$19,556m	\$17,817m	\$16,723m to \$19,556m
Cash Flow	Free cash flow	\$15,147m	\$14,044m	\$13,567m to \$15,147m
Leverage	Net debt / EBITDA	1.01x	1.10x	1.18x to 1.01x
Valuation	P/E (trailing)	21.84x	23.82x (FY25-end)	23.86x to 21.68x (FY-end basis)
Valuation	EV/EBITDA	14.60x	16.34x (FY25-end)	17.47x to 14.83x (FY-end basis)
Valuation	P/FCF	22.20x	26.60x (FY25-end)	25.43x to 22.54x (FY-end basis)
Market	Beta	0.38	n/a	n/a
Market	Annualized volatility (1Y)	19.50%	n/a	n/a
Market	Maximum drawdown (1Y)	-16.15%	n/a	n/a

Market and valuation data as of 21 August 2026 close. FY-end figures use each fiscal year's 30 June closing price. Calculated metrics (annualized volatility, maximum drawdown, EV/EBITDA and P/FCF trend series, beta n/a rows) are derived by the analyst from daily closing-price data or company financials as described in Sections B3-B4; all other figures are sourced as described in Section G.

G. Sources and Methodology

Primary Sources

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Trade and industry press (aggregated) - Private-label share of U.S. consumer packaged goods, 2021-2026. As reported by Talk Business & Politics and Supermarket Perimeter, citing Circana data, accessed August 2026. Used for: private-label competitive trend estimates in Sections A1 and A6.

Market and Financial Data

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Calculations

Analyst calculations All margin, return, growth, leverage and per-share figures not directly disclosed by the company are calculated by the analyst from the source data above. Technical indicators (50-day and 200-day moving averages, RSI, MACD, average true range, annualized and downside volatility, maximum drawdown) are calculated by the analyst from a trailing twelve-month daily closing-price series (21 August

2025 to 21 August 2026) sourced from StockAnalysis.com. The discounted cash flow model in Section C5 is a reasoned analyst construction using explicitly stated assumptions and is not a company-provided or consensus estimate.

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